Revised Defense and Refund/Credit Strategy

Client: Isiah Howard | **Date:** June 18, 2026

1. Strategic Objective

To resolve the $89,300.40 IRS balance and the "Frivolous Return Program" designation by transitioning from non-traditional administrative theories to a fact-based, professional defense centered on income reconciliation and financial hardship.

2. Track A: Compliance Baseline (2025 Filing)

- **Action:** File a conventional 2025 individual return.
- **Requirement:** Use only actual 2025 income (W-2, 1099, bank records) and documented expenses.
- **Goal:** Remove the "Non-Compliant" flag on the Tax Compliance Report. Do **not** use trust-reclassification or voucher-remittance logic. Establish a baseline of "good faith" to counter the frivolous designation.

3. Track B: Income Reconciliation (2024 Assessment)

- **The Fact:** The 2024 assessment of $74,280 is based on $236,987 in self-reported Schedule C income.
- **The Evidence:** The 2024 Wage & Income transcript shows **$0** in third-party reported income.
- **Action:** Gather all 2024 bank statements, invoices, and payment-processor reports (Stripe, PayPal, etc.).
- **Goal:** If the $236k was reported in error, file a corrected 1040-X based on **verified financial records**. This is a "Naked Assessment" defense that shifts the burden to the IRS to prove the income existed.

4. Track C: Administrative Records (FOIA & Transcripts)

- **Action:** Narrow the FOIA request to seek "Correspondence Control" and "Payment Research" records.
- **Action:** Obtain a "Record of Account" for the Trust (EIN 92-6080121).

- **Goal:** Determine the exact disposition of the $250,000 voucher submission. Identify if the materials were rejected, destroyed, or held in a suspense account.

5. Track D: Collection Protection (Hardship)

- **Action:** Evaluate eligibility for **"Currently Not Collectible" (CNC)** status.
- **Requirement:** Document housing instability, low current income, and essential living expenses.
- **Goal:** Halt all levy and lien actions based on financial hardship while the 2024 underlying liability is being reconciled.

6. Prohibited Actions (Risk Mitigation)

- **Cease Jurisdictional Arguments:** Do not use indigenous status or "corporate entity" claims in tax filings.
- **Cease UCC/SPC Arguments:** Do not present UCC filings as a defense to tax liability.
- **Cease "A4V" Language:** Do not refer to vouchers as "payment" or "tender" in formal IRS correspondence; refer to them as "submitted remittance materials requiring accounting."

7. Conclusion

The path to a refund or credit depends on proving the **2024 income was factually incorrect** and that the **$250,000 submission** requires a formal accounting. By filing a clean 2025 return and documenting actual hardship, you protect your assets while the legal battle is fought on the facts.